WARPSimLab Monte Carlo Risk Report

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Report Basis: Real Dollars (Inflation Adjusted)

Projection Period: 2026-2056 (30 Years)

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This report is intended solely for educational purposes.
It is not financial, investment, tax, legal, retirement, or other professional advice.
All results are generated from user-provided assumptions and simulated or historical market conditions.

Executive Summary

This section summarizes the main risk results from the selected analysis method.

Scenario Count

1,000

Years Simulated

30

Simulated Shortfall Rate

92.70%

Worst Ending Portfolio

$0

Median Ending Portfolio

$0

Best Ending Portfolio

$377,678

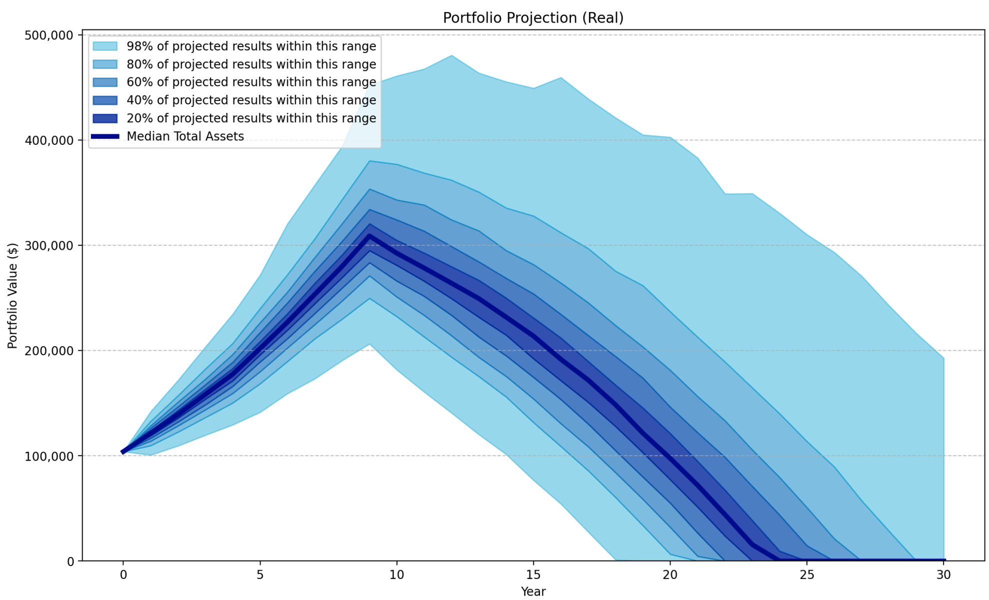
Method Explanation

Monte Carlo Analysis evaluates your financial plan across many simulated market paths. Investment returns are generated from your selected market assumptions rather than replaying one specific historical period.

This method helps illustrate how your financial plan may perform across a broad range of possible future market conditions, including return sequences that have not occurred in the historical record.

Portfolio Projection Across Simulated Market Scenarios

This chart summarizes portfolio outcomes generated from simulated market paths. Each scenario represents one possible sequence of investment returns and inflation, illustrating a range of potential outcomes rather than replaying actual market history.



Portfolio Sustainability Analysis

This section summarizes how often the modeled portfolio was depleted before the end of the projection period.

Monte Carlo Analysis evaluates your financial plan using many statistically generated sequences of market returns and inflation. The resulting statistics estimate how sensitive your plan may be across a broad range of possible future market conditions.

Scenario Count	1,000
Portfolio Survived Count	73
Portfolio Depleted Count	927
Portfolio Survival Rate	7.30%
Simulated Shortfall Rate	**92.70%**
Earliest Portfolio Depletion Year	**2,042**
Median Portfolio Depletion Year	**2,050**
Latest Portfolio Depletion Year	**2,056**

Monte Carlo Insights

Sequence-of-Returns Risk

During retirement, the order in which investment returns occur can have a significant impact on long-term portfolio sustainability. Poor market returns early in retirement reduce the portfolio while withdrawals continue, leaving less capital available to benefit from future market recoveries.

If Sequence Risk is enabled, Monte Carlo simulations preserve this effect by applying annual returns in chronological order. As a result, two simulations with the same long-term average return may produce substantially different retirement outcomes depending upon when gains and losses occur.

What Monte Carlo Suggests

Most analyzed scenarios depleted the portfolio before the end of the projection period. These results suggest that your financial plan is highly sensitive to adverse market conditions and may benefit from changes such as lower withdrawals, additional savings, or a different investment strategy.

Unlike Historical Window Analysis, Monte Carlo Analysis evaluates your financial plan using statistically generated sequences of market returns and inflation rather than actual historical periods. This makes it useful for understanding the range of possible future outcomes and the sensitivity of your financial plan to uncertain market conditions.

Percentile Portfolio Table

This table summarizes how portfolio values varied across all simulated scenarios during each year of the simulation. Each row represents one year of the projection, while the percentile columns show the distribution of portfolio values across all historical windows or Monte Carlo simulations at that point in time.

For example, the 10th percentile represents a relatively poor outcome in which approximately 10% of scenarios produced a lower portfolio value and 90% produced a higher value. Likewise, the median represents the middle outcome, while the 90th percentile represents one of the stronger outcomes. Together, these percentiles illustrate how the range of possible portfolio values changes over time.

Year	10th Percentile	25th Percentile	Median	75th Percentile	90th Percentile
2026	$104,000	$104,000	$104,000	$104,000	$104,000
2027	$109,731	$115,424	$121,656	$127,637	$132,873
2028	$122,659	$130,495	$139,303	$148,629	$157,315
2029	$136,453	$146,386	$158,436	$169,973	$182,659
2030	$150,331	$162,996	$177,629	$192,689	$206,944
2031	$168,546	$184,556	$202,029	$222,167	$239,978
2032	$189,721	$206,744	$226,971	$250,804	$272,258
2033	$211,242	$230,712	$253,489	$281,922	$306,297
2034	$229,980	$252,968	$280,051	$310,811	$343,641
2035	$249,782	$277,072	$308,951	$345,401	$380,457
2036	$232,306	$258,400	$292,514	$335,535	$377,068
2037	$213,033	$242,302	$278,479	$324,636	$368,778
2038	$193,806	$224,050	$264,041	$309,443	$362,040
2039	$175,369	$203,061	$249,406	$295,367	$350,657
2040	$155,940	$186,170	$231,743	$280,852	$335,549
2041	$131,628	$165,640	$213,756	$267,993	$327,936
2042	$108,887	$143,331	$191,689	$250,718	$312,070
2043	$85,848	$118,190	$171,950	$228,124	$296,973
2044	$60,406	$93,669	$148,465	$211,760	$275,485

Year	10th Percentile	25th Percentile	Median	75th Percentile	90th Percentile
2045	$33,698	$69,973	$121,468	$187,616	$261,755
2046	$6,551	$42,398	$97,528	$163,230	$236,893
2047	$0	$14,764	$72,039	$140,857	$212,824
2048	$0	$0	$44,171	$116,928	$189,300
2049	$0	$0	$15,614	$88,662	$164,629
2050	$0	$0	$0	$63,009	$140,010
2051	$0	$0	$0	$33,684	$113,593
2052	$0	$0	$0	$4,368	$89,430
2053	$0	$0	$0	$0	$57,325
2054	$0	$0	$0	$0	$28,398
2055	$0	$0	$0	$0	$0
2056	$0	$0	$0	$0	$0

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